Alphabet Inc.

GOOGL NASDAQ

Buy	$299.64 ▲ 2.11%	12M Price Target $340.00	52-Week Range $270.70 – $408.61	Market Cap $3.68T

GOOGL: TPU Momentum Builds as Nvidia Succession Doubts Grow

WHAT HAPPENED

- Stock up 2.1% to $299.64 — and the real catalyst is the analyst note saying Nvidia's succession uncertainty is "opening the door" for Google's TPU chips and Broadcom. Translation: big cloud customers are starting to seriously consider alternatives to Nvidia, and Google's homegrown AI chips (TPUs) are the #1 alternative. That's a massive long-term story.
- Second thread: Pimco's CEO warning AI companies may borrow $10 trillion — but notice Alphabet isn't on that worry list. They're funding AI with $90B+ of annual free cash flow, not debt. That's a competitive moat when rates stay high.

WHY IT MATTERS

Here's what the market is slowly waking up to: Alphabet may be the only Big Tech name that owns the entire AI stack — chips (TPU), models (Gemini), cloud (GCP), and distribution (Search/YouTube/Android). The Nvidia-alternative narrative is huge because it means Google Cloud margins could expand dramatically as they sell TPU capacity instead of marking up Nvidia GPUs. Meanwhile, the stock is only at 21% of its 52-week range — meaning it's been beaten down relative to peers, so there's room to re-rate higher if the TPU story keeps building. The options flow is screaming bullish (call volume 3x put volume), and institutions own 80% — smart money is positioned for upside.

POLICY & POLITICAL WATCH

Two big things to watch: (1) The DOJ antitrust remedy phase on Search is still unresolved — the market is pricing in a mild outcome (behavioral remedies, not a Chrome spinoff), and if that holds, there's a relief rally coming. (2) The Trump administration's AI Action Plan has been explicitly pro-US-AI-champions and anti-heavy-regulation, which is a direct tailwind for Alphabet's ability to deploy AI products fast without EU-style compliance drag. Also watch export controls on advanced chips to China — Google is less exposed than Nvidia because TPUs are used internally, so tightening restrictions actually hurts competitors more than Alphabet.

IS IT EXPENSIVE?

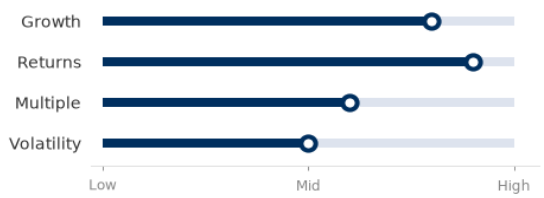
At ~30x forward earnings, you're paying $30 for every $1 of profit Alphabet will make next year — that's actually cheaper than Microsoft (~33x) and way cheaper than Nvidia (~35x), despite Alphabet growing cloud at 30%+. Said differently: the market is still treating GOOGL like a mature ad business when it's increasingly an AI infrastructure company. If the TPU narrative sticks, this stock deserves a Microsoft-like multiple, which gets you to $340+ naturally.

WHAT COULD GO WRONG

Key Data

Price (USD)	**$299.64**
12M Price Target	**$340.00**
Upside / (Downside)	**+13.5%**
Market Cap	**$3.68T**
FY2026E Revenue	**$405M**
FY2027E Revenue	**$460M**
FY2026E EPS	**$9.85**
FY2027E EPS	**$11.40**
Fwd P/E	**30.4x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

GOOGL — Alphabet Inc. | November 12, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$320.00**	$305.00	**$278.00**
6 Months	**$360.00**	$325.00	**$265.00**
1 Year	**$400.00**	$340.00	**$250.00**
2 Years	**$475.00**	$390.00	**$240.00**
5 Years	**$650.00**	$500.00	**$220.00**
10 Years	**$1000.00**	$700.00	**$200.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2% today, +5% this week) — powering the AI data center boom, which is a second-order bet on companies like GOOGL. Utilities also catching a bid for the same reason.

COOLING OFF: Financials, Healthcare, Staples all red — classic defensive rotation OUT as money moves into growth/AI.

ROTATION WATCH: Money is flowing from defensive sectors into AI infrastructure and the power stack that supports it. That's bullish for GOOGL because they're both the AI player AND one of the largest buyers of that power/data center capacity.

RELATED PLAY: If TPU momentum is real, Broadcom (AVGO) is the pure-play second-order winner — they co-design the TPU chips with Google. Also watch data center REITs like EQIX and DLR.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): Direct beneficiary of the "Nvidia alternative" trade — they make custom AI chips with Google
- META (Meta Platforms): Also running on AI monetization in ads, which validates the GOOGL ad+AI thesis

GOOGL CONTEXT: GOOGL is LAGGING its mega-cap peers YTD — it's only at 21% of its 52-week range while MSFT and META are near highs. That's actually bullish from here: it's the cheapest Big Tech AI play with arguably the best chip story. Catch-up trade setup.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — Pounding the table moderately. Rare setup where you get growth, profitability, cheapish valuation, AND policy tailwind in one name.

POSITION SIZE: 4-6% of portfolio. Big enough to matter, small enough that a DOJ surprise doesn't wreck you.

ENTRY POINTS: Add on dips to $285-295. Any macro-driven selloff below $280 is a gift.

TIME HORIZON: 12-24 months. Catalysts: Q4 earnings (cloud growth), DOJ remedy resolution, and any major TPU customer win announcement.

WHEN TO BAIL: If Search revenue grows less than 8% YoY (chatbot threat is real), or if DOJ forces a structural breakup, or if cloud growth drops below 20%.

HEDGING: Buy cheap out-of-the-money puts 3 months out as insurance — costs you about 1-2% of your position to protect against a 10%+ drop. Think of it like paying for fire insurance on the house.

This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.